

STRATEGIC SOURCING AGREEMENT

Contract Ref: ABC-IS-2026 | Document Date: June 2026 | Version: 1.0

CONTRACT SUMMARY

FIELD	DETAILS
Supplier	ABC Chemicals
Product	Industrial Solvent
Quantity	5,000 Tons
Unit Price	■35,000 per Ton
Total Contract Value	■17,50,00,000
Delivery Date	15 July 2026
Payment Terms	Net 30 Days
Contract Reference	ABC-IS-2026

TERMS AND CONDITIONS

1. STRATEGIC INTENT

This Strategic Sourcing Agreement represents a long-term supply partnership between ABC Chemicals and the Buyer. Beyond the immediate transaction of 5,000 MT of Industrial Solvent, the parties intend to develop a robust, resilient, and mutually beneficial supply chain relationship.

2. SUPPLIER DEVELOPMENT

The Buyer acknowledges ABC Chemicals as a preferred supplier. In return, ABC Chemicals commits to continuous improvement in quality, reliability, and pricing competitiveness. Annual supplier reviews shall be conducted to assess and recognize performance excellence.

3. COMMERCIAL AGREEMENT

For this agreement term, the commercial parameters are: Product: Industrial Solvent, Quantity: 5,000 MT, Rate: ■35,000/MT, Total Value: ■17,50,00,000, Delivery: 15 July 2026, Payment: Net 30 Days. These terms shall form the baseline for future contract negotiations.

4. DEMAND PLANNING

The Buyer shall share a rolling 3-month demand forecast with the Supplier by the 1st of each month. This forecast is indicative and not binding but will enable the Supplier to optimize production scheduling and raw material procurement.

5. SUPPLY CHAIN TRANSPARENCY

ABC Chemicals agrees to grant the Buyer visibility into its production capacity, raw material inventory levels, and dispatch schedules through a mutually agreed digital platform or regular status reports. Such information shall be treated as strictly confidential.

6. PAYMENT & CASH FLOW

Net 30 Days payment terms are agreed. The parties shall explore dynamic discounting mechanisms that may benefit the Supplier's working capital while providing the Buyer with cost savings. Any such arrangement shall be documented as a supplementary agreement.

7. SUSTAINABILITY COMMITMENTS

ABC Chemicals commits to maintaining environmental compliance, reducing carbon footprint in production and logistics, and providing annual sustainability performance data upon the Buyer's request. The Buyer encourages suppliers who invest in green manufacturing practices.

8. TECHNOLOGY & INNOVATION

Both parties will collaborate on process improvement initiatives that could reduce product cost, improve product quality, or enhance supply reliability. IP generated from joint innovations shall be governed by a separate Joint Development Agreement to be executed as needed.

DECLARATION

Both parties confirm that they have read, understood, and agreed to all terms and conditions set forth in this Agreement. This document is legally binding upon execution by authorised representatives and shall remain in full force until all obligations are discharged.

SIGNATURES

FOR ABC CHEMICALS (SUPPLIER)	FOR BUYER
Authorised Signatory	Authorised Signatory
Name: _____	Name: _____
Designation: _____	Designation: _____
Date: _____	Date: _____
Company Seal:	Company Seal: